Jesse Wedewer

September 2026
[Link to Latest]

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Personal Information

Citizenship: USA

Placement Committee

Director of Ph.D. Placement: Kyle Jurado (kyle.jurado@duke.edu)
Administrator: Taylor Murray Scisco (phd-assistant@econ.duke.edu)

Education

Duke University — Durham, NC
Ph.D. in Economics — 2027 (expected)
– Committee: Laura Pilossoph (Chair), Gregor Jarosch, Peter Arcidiacono, and Michael Dinerstein

University of Idaho — Moscow, ID
B.A. in Economics and Mathematics — 2018

Research Interests

Primary: Labor Economics
Secondary: Macroeconomics

Job Market Paper

Intergenerational Mobility in the Value of a Job (with Natalia Khorunzhina and Runling Wu)

Working Papers

1. ***The Search Costs of Inflation in the Labor Market*** — May 2026
with Laura Pilossoph and Jane Ryngaert

Abstract: This paper studies the effect of unanticipated inflation in the labor market. When wages are contracted in nominal terms, inflation reduces real wages, leading workers to intensify on-the-job search to obtain wage-adjusting outside offers. Both the search effort and the resulting job mobility are costly, yet that same mobility raises output by moving workers toward more productive matches. To quantify these costs and benefits, we extend the canonical job ladder of Postel-Vinay and Robin (2002) to a nominal environment with privately chosen search effort, and calibrate it to standard moments from the pre-pandemic US labor market. A one-time inflation shock scaled to the COVID episode generates an average welfare loss of 0.44% of consumption, with workers at the top of the wage distribution bearing losses over six times those at the bottom. Once the offsetting transfer of surplus to firms and productivity gains from reallocation are accounted for, the net aggregate cost is close to zero. Second, inflation volatility imposes asymmetric costs: worker welfare is approximately invariant to the volatility regime because firms compensate workers for expected search costs at

hiring, but social welfare declines meaningfully because the resource cost of search effort is not undone by compensation. This second finding identifies a distinct, labor-market source of welfare costs from inflation volatility, complementing the price-dispersion costs emphasized in the New Keynesian literature.

2. ***The Worker and Firm Origins of Life-Cycle Wage Inequality*** September 2026
with Xincheng Qiu and Runling Wu

Abstract: Wage inequality widens substantially over the life cycle. We decompose this widening into worker and firm heterogeneity in returns to experience and sorting. We generalize the AKM model to allow wage growth to differ across workers and firms and develop a two-way clustering algorithm for estimation. Using Italian matched employer-employee data, we document substantial heterogeneity in both worker and firm growth effects. Worker growth accounts for two-thirds of the rise in life-cycle wage inequality, while firm growth accounts for the remaining third. Workers with more accumulated skills increasingly sort into high-paying firms over the life cycle.

3. ***Intergenerational Mobility in Welfare: Wages and Amenities*** December 2025
with Natalia Khorunzhina and Runling Wu

Abstract: Measures of intergenerational mobility primarily focus on earnings and often overlook substantial heterogeneity in job amenities. We propose a novel measure of intergenerational welfare mobility, "value-value" slope, including both pecuniary and non-pecuniary value of a job. We apply a revealed preference approach to construct common rankings of jobs based on worker flows. Using Danish administrative data, we document that there is 31% more intergenerational mobility than earnings-based mobility measures alone would suggest: the value-value slope is 0.105 and the wage-premia slope is 0.151. Importantly, this aggregate pattern masks striking gender differences: comparing within each gender, daughters exhibit 38% greater mobility in total welfare than in wages; for sons, the two measures nearly align. Gender differences trace to how family background shapes educational and occupational paths. Daughters pursue academic tracks and enter white-collar jobs with similar amenities at high rates regardless of background. Sons' paths are more stratified: those from disadvantaged families disproportionately follow vocational routes into blue-collar work, where both wages and amenities differ sharply from the professional jobs that advantaged sons obtain.

4. ***Text Sentiment about Monetary Policy*** November 2025
with Hie Joo Ahn, Thomas R. Cook, Taeyoung Doh, and Elias Kastritis

Abstract: This paper uses text data from FOMC meeting transcripts to estimate the reference levels of full employment, inflation, and financial conditions perceived by voting members, and to uncover time variation in the Taylor rule parameters. We construct topic dictionaries on economic slack, inflation, and financial markets, and infer reference levels from members' sentiment using a state-space model. The estimated employment reference level indicates that FOMC voting members generally perceived the labor market as tighter than implied by the CBO's estimates between the mid-1980s and early 2000s, whereas the two measures align closely during the Great Recession and its subsequent recovery. The perceived inflation target varies widely in the 1970s and 1980s, trends downward in the 1990s, and stabilizes slightly below two percent thereafter. The estimated Taylor rule exhibits shifting policy weights over time—stronger emphasis on inflation stabilization before the mid-1990s, greater responsiveness to employment deviations thereafter, and renewed emphasis on the inflation trend following the Great Recession—while interest-rate smoothing remains substantial throughout.

Employment

Federal Reserve Bank of Atlanta Atlanta, GA
PhD Summer Intern 2026

Federal Reserve Bank of Cleveland — Cleveland, OH
Summer Economics Fellow — 2024

Federal Reserve Board of Governors — Washington, DC
Senior Research Analyst, Labor Market Section — 2018–2021

Research Experience

Duke University — Durham, NC
Graduate Assistant for Laura Pilossoph — 2023–present
Research Assistant, Baby's First Years — 2022

Teaching Experience

Duke University — Durham, NC
Teaching Assistant
Intermediate Microeconomics (Econ 201) — Fall 2024
Principles of Economics (Econ 101) — Spring 2023
Statistical Foundations of Econometrics (Econ 104) — Fall 2022

Honors, Scholarships, and Fellowships

Duke Graduate School Summer Research Fellowship — 2026
Departmental Summer Research Fellowship, Duke University — 2025, 2024, 2023
AEA Summer Fellowship, Federal Reserve Bank of Cleveland — 2024
Outstanding Senior in Economics, University of Idaho — 2018
AEA Summer Training and Scholarship Program, Michigan State University — 2017

Seminars and Conference Presentations

2026: Society of Labor Economists Annual Meeting (Denver), Search and Matching Conference (Amsterdam), Federal Reserve Bank of Atlanta

2025: Search and Matching Conference (Lithuania), Society for Economic Dynamics Annual Meeting (Copenhagen)

2024: Federal Reserve Bank of Cleveland

Service

Co-organizer, The Micro and Macro Perspective of the Labor Market Reading Group — 2023–present
Duke Economics Student Labor/Public Workshop — 2023
Duke Economics Graduate Mentorship Program (GMP) — 2023

Skills and Languages

Skills: Stata, Python, R, MATLAB, Julia, LaTeX
Languages: English (Native)

References

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